

Additionally, customers could receive registration fee waivers and road tax concessions. State governments, too, have been asked to pitch in with concessions on motor vehicle tax of up to 25% for non-transport vehicles and 15% for transport vehicles. Additionally, customers could receive discounts from carmakers if they produce a certificate of deposit testifying that they have scrapped an old car.

Despite good intentions, industry leaders observe, the policy has had little impact. There have been several rounds of discussions between state governments, the Union government, and automakers over the past three years, but with little to show for it.

That is one reason why Vinod Aggarwal, immediate past president of the Society of Indian Automobile Manufacturers (SIAM) and MD & CEO of Volvo Eicher Commercial Vehicles (VECV), called on the government to provide more incentives in the Union Budget, presented on July 23. "We are expecting that government to do something more on the incentives for scrapping of vehicles, because there is a policy that is already in place, but, of course, we have not seen much impact as of now," Aggarwal had said. Those hopes were dashed.

But just a month later, Union Minister Gadkari, a big votary of the policy, intervened at a meeting with commercial and passenger vehicle manufacturers who are part of SIAM, on August 27. After the meeting, SIAM signed a memorandum of understanding with the MoRTH, where it agreed to offer discounts of 1.5–3% to customers who purchase new vehicles after scrapping old ones.

"This initiative will significantly advance our Circular Economy efforts [sic], ensuring that cleaner, safer, and more efficient vehicles are on our roads," Gadkari said in a post on the social media platform X.

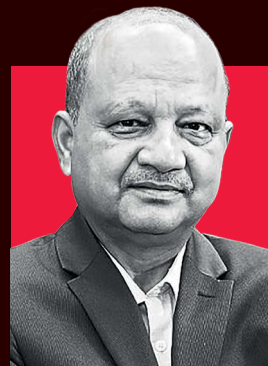
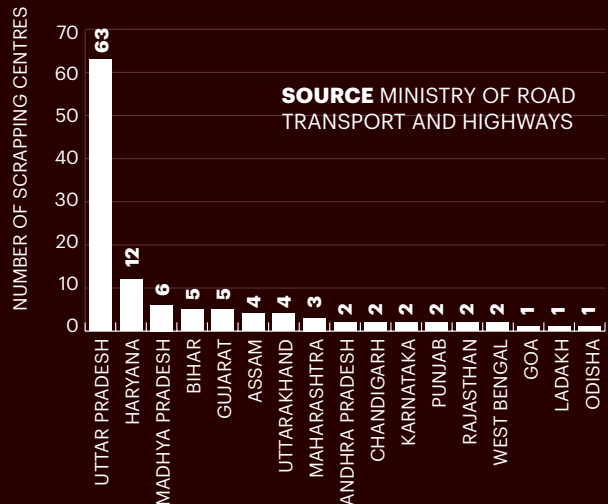
In September, Gadkari upped the ante. Speaking at the 64th SIAM convention, he said discounts could rise above 3%, observing that the scrapping policy will be a good tool to increase competition amongst automobile manufacturers. "They might like it or not like it, but automakers will have to increase the discount amidst rising competition. If they are offering product discounts at a good and reasonable rate, their turnover will be good," said Gadkari.

TEPID RESPONSE

Despite those exhortations from the minister and their own warm welcome to the policy, automakers have remained tight-lipped about offering more dis-

LONG WAY TO GO

● As per the government, India requires 1,000 scrapping centres and 100 automated fitness test centres



"When old vehicles are scrapped, materials such as steel, rubber, plastic, and aluminium can be circulated back"

VINOD AGGARWAL

MD & CEO, VOLVO EICHER COMMERCIAL VEHICLES



"Given the high cost of newer models, this policy might not provide much assistance to [two-wheeler owners]"

PUNEET GUPTA

DIRECTOR, INDIA & ASEAN AUTOMOTIVE MARKET, S&P GLOBAL